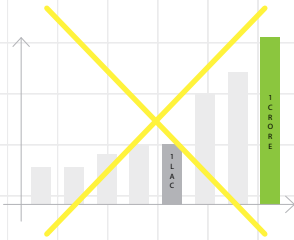


So, now that you have established today's value at Rs.5cr, the investor won't agree if they are not confident in any aspect of it.



1 CR X 12 MONTHS
X 4 TIMES SALES VALUE
= 50 CRORES



They might doubt that you will make Rs.1cr per month in two years.

They might not be convinced about 1cr sales getting valued at 4X ARR at that point in time

They might not even agree to the return that you are promising. They might want higher return.

If they are not confident about each of these, they will not agree to the current value of the company. For example -

